

—Sankaran Naren, CIO of ICICI Prudential Mutual Fund²

The 1990s' euphoria also coincided with a period when the stock market was one of the preferred avenues for deploying black money for thousands of households. Most IPOs in that decade were orchestrated by 'fly-by-night' operators working in cahoots with shady brokers (some of whom ended up behind bars). Although the SEBI had been set up in 1992, pricing controls had been removed. That, combined with the lack of proper regulations and infrastructure, facilitated fraudulent activities by operators. For example, offer documents used to be six to eight pages long in those days (versus over 500 pages now) since SEBI did not require too many disclosures. Defaulting promoters and those against whom regulators had passed orders were not barred from launching another IPO. Those days, almost all issues were aimed only at retail investors (versus 50 per cent reservation today for qualified institutional buyers), who more often than not became part-time venture capitalists taking huge risks.

The scandals of the early 1990s prompted the SEBI to initiate a clean-up of stock market practices from 1996. The most critical of these measures was the dematerialization of shares, i.e. a shift to electronic share certificates from physical share certificates. This development curbed a range of malpractices which hinged on duping investors with 'forged share certificates'.

Unfortunately, this positive regulatory change had a massive adverse impact on retail inflows into the stock market over the next twenty years (see [exhibit 43](#) below). For two decades after this momentous change in 1996, Indian investors routed their black money savings away from the stock market and towards real estate and gold. By 2013, property prices in Mumbai started rivalling those in London and New York's suburbs and Indians became the world's biggest buyers of gold. Rental yields in India's residential property markets are now amongst the lowest in Asia (see [Exhibit 39](#) in Chapter 4), thus pointing to significant overvaluation of this asset class mainly because it can absorb black money.